

amount of money you could get to repair or replace the items, *minus* the depreciation on the items. That amounts to a whole lot less.

To figure out how much personal property insurance you need, make a list of everything you own and estimate how much it would cost you to replace these items. This is a hassle, but it's worth doing (just rough figures are fine) and there's free software out there to make the job a little easier. (One program is Know Your Stuff, which you can download from the Insurance Information Institute at www.knowyourstuff.org.) Write down the approximate purchase date and purchase price of all your belongings, including furniture, rugs, electronics, computers, dishes, pots and pans, artwork, and major appliances. Also list your suits, dresses, shoes, and coats. (Don't forget the expensive stuff, like your wedding dress or tuxedo.)

Gather as many receipts as you can to back up your list. Write down the serial or model numbers for appliances. When you make major purchases, save the receipts. Take pictures of your more valuable belongings. This inventory will come in handy if you ever need to file a claim. Keep a copy of the list, along with the receipts and photos, in a safe place (perhaps at work). Also give a copy to a trusted friend or relative. (Don't leave a copy lying around your apartment. It's a great road map for a burglar. For the same reason, don't give the list a revealing file name on your home computer.) Most people never get around to doing this exhaustive inventory, but at the very least take pictures or a video of your valuables and store the photos or video in a safe place.

- **Damage you do to other people and other people's property.** Homeowners policies include liability protection that covers you for damage you accidentally cause inside or outside your home. If you leave a pair of boots in the middle of your kitchen floor and your neighbor trips on them and breaks her leg, your liability insurance will probably cover your legal costs, as well as her medical bills and other costs, assuming you're held responsible for the injury. If you run a